IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH - 2

CP (CAA.) NO. 48/AHM/2022

In

CA (CAA.) NO. 12/AHM/2022

[Sections 230 - 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 read with The Companies (Compromises, Arrangements and Amalgamations) Rules, 2016]

In the matter of Composite Scheme of Amalgamation

OF

M/s. DCS Infotech Private Limited
(Petitioner Transferor Company)
WITH

M/s. Deepak Novochem Technologies Limited

(Petitioner Transferee Company)

AND

Their Respective Shareholders and Creditors

Order Pronounced on: 12/01/2023

CORAM:

DR. DEEPTI MUKESH,
HON'BLE (MEMBER (JUDICIAL)

AJAI DAS MEHROTRA,
HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

M/s. DCS Infotech Private Limited
(CIN: U74140GJ1989PTC128553),
A Company incorporated under the Companies Act, 1956
having its registered office at Office No.103, Tanishq Complex,
Opp: SBI Urmi Branch Productivity Road, Akota,
Vadodara 390020, Gujarat, India.

… Petitioner Transferor Company

M/s. Deepak Novochem Technologies Limited
(CIN: U24100GJ2007PLC101165)
A Company incorporated under the Companies Act, 1956,
having its registered office at 1st Floor Aaditya-2 Complex,
Chhani Jakat Road, National Highway No. 8,
Vadodara, Gujarat, 390024, India

....Petitioner Transferee Company

Appearance:

For the Petitioners: Ms. Dharmishta Raval, Adv.
For the Regional Director: Mr. Shiv Pal Singh, Asst. Director
For the Official Liquidator: Mr. Suresh Srivastav, UDC
For Income Tax: Ms. Pankti Shah, Adv.

ORDER

1. This joint Company Petition is filed under section 230-232 of the Companies Act, 2013 (for brevity **the Act**) read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for sanctioning the Scheme of Amalgamation of M/s. DCS Infotech Private Limited (hereinafter referred to as **Transferor Company**) with M/s. Deepak Novochem Technologies Limited (hereinafter referred to as **Transferee Company**) and their respective shareholders and creditors.

2. From the records, it is seen that the first motion joint application seeking directions for dispensation of the meetings of Equity Shareholders of both the Petitioner Companies; no meetings of secured and unsecured creditors were to be convened as there were no creditors in the Transferor Company and further seeking directions for convening the meetings of secured and unsecured creditors of the Transferee Company, was allowed vide its orders dated 07/04/2022, which was subsequently rectified by order dated 20/04/2022 with directions to issue notices to concerned Statutory and/or Regulatory Authorities. Subsequently, vide daily order dated 06.05.2022, the applicant was allowed to change the date of the meeting to 22.06.2022. The Petitioner Companies filed an affidavit of service of notice to the Regulatory and/or Statutory Authorities.

3. As directed by the Tribunal separate meetings of Secured and Unsecured Creditors of the Transferee Company were convened.

The Chairman filed the report with the scrutinizer's report by way of an affidavit.

4. The Petitioner Companies have filed 2nd motion joint petition on 06.07.2022 within the time prescribed. Vide order dated 26/07/2022, the 2nd motion joint petition was admitted with directions for publication of notice of hearing in the newspaper **"Free Press"** in English and **"Lok-Mitra"** in Gujarati, both Ahmedabad Edition. Notices were issued informing the date of the hearing, i.e., 20.09.2022 to the concerned Regulatory and/or Statutory Authorities. The Petitioner Companies have filed a compliance affidavit regarding the paper publication and proof of service of notices.

5. The Regional Director, North Western Region, MCA and RoC, Ahmedabad have filed a common report with the following observations/directions:
   i. To comply with Section 232(3)(i) of the Act and pay fees accordingly.
   ii. To comply with Section 61 of the Act and pay the stamp duty and registration fees etc. and file the relevant e-form with the respective RoC.
   iii. To pay the legal fees/expenses of the office of the RD for submitting this report.

6. The Official Liquidator has submitted his report with reference to the Transferor Company with the following observations/directions:

i. To place on records before this Tribunal the amount which is going to be reflected in the Books of Accounts of the Transferee Company upon the scheme of Amalgamation coming into force.

ii. To preserve the books of accounts, papers and records of the Transferor Company and shall not dispose of them without prior permission of the Central Government.

iii. To comply with the statutory Compliances of all applicable laws.

iv. To pay the cost of proceeding and related office expenses to the Office of the OL for submitting this report and lodge a certified copy of the order along with the scheme with the concerned Superintendent of Stamps and concerned RoC.

7. The Petitioner Companies have filed a Common Affidavit in response to the report submitted by RD with ROC and OL with the following undertakings and explanations hereinbelow:

a) With reference to Para (c) of the RD Report, the Transferee Company undertake to pay the difference of the amount of fees payable on account of enhanced authorized capital and undertake to comply with the provisions of Section 232(2)(i) of the Companies Act, 2013 with respect to payment of fees and filing the requisite documents with the Registrar of Companies.

b) With reference to Para (e) of the R.D. Report, it is submitted that under the Single Window principle recognized by the Hon'ble High Court and further as the Scheme itself is approved by the Shareholders, the Transferee Company will only be required to pay the stamp fees and registration fees

and file the relevant e-form. The Transferee Company undertakes to do so.

c) With reference to Para 2(h) of the RD Report, the Transferee Company will pay such legal fee as directed by this Hon'ble Tribunal.

d) With reference to para 14 of the OL report, it is submitted that on the scheme of amalgamation being sanctioned by this Hon'ble Tribunal, the equity shares of M/s. Deepak Nitrite Limited held by the Transferor Company will be reflected at book value in the books of the Petitioner Transferee Company.

e) With reference to para 24 of the OL report, both Petitioner Companies undertake to preserve the books of accounts, papers and records and shall not dispose of them without prior permission of the Central Government.

f) With reference to para 25 of the OL report, both Petitioner Companies undertake to ensure Statutory Compliance with the applicable laws and further undertake that they shall not be absolved of any of the statutory compliances on the sanctioning of the Scheme.

g) With reference to para 27 and 29 of the OL report, both Petitioner Companies undertake to pay such costs and fees as are directed by this Tribunal and also undertake to lodge a certified copy of the order with the Superintendent of Stamps and Registrar of Companies.

8. The Income Tax Department has filed its report dated 05/07/2022, 20/10/2022 and submitted that,-

a) All pending proceedings against the Transferor Company shall be continued against the Transferee Company and hence the scheme should be without prejudice to its rights to proceed against the Transferee Company.

b) On verification from the system it is found that there is no demand outstanding in this case. At the moment this scheme is not being examined with reference to the taxation aspect vis-a-vis other such scheme/s if any. In future, if it is discovered that this scheme or similar scheme is in any way acting as a ·device for tax avoidance, then the Department will be at liberty to initiate the appropriate course of action as per law.

c) The Income Tax Department will be free to examine the aspect of any tax payable as a result of the Scheme and in case it is found that the scheme ultimately results in tax avoidance or is not in accordance with the provisions of the Income Tax Act, then the Department will be at liberty to initiate the appropriate course of action as per law.

d) It is further requested that the rights of the Income Tax Department should remain intact to take out appropriate proceedings regarding raising any tax demand against the Transferee Company at any future date and these rights should not be adversely affected in view of the sanction of the Scheme.

e) As per the report dated 20.10.2022 filed by the Income Tax Department some outstanding demands are pending against the Transferee Company.

9. During the course of the hearing, the concerned officers and/ or counsels for the office of Regional Director, Official Liquidator stated that respective Departments have no objection if the said scheme is sanctioned by this Tribunal and all their observations stand satisfied as recorded in daily order dated 23.12.2022. During the course of the hearing, Ms. Raval, Ld. Counsel for the Petitioners states and submitted that the Transferee Company will continue to be in existence and proceedings can go ahead against the Transferee Company. Ld. Counsel further submitted that the scheme provides that tax liability will not be prejudiced and Petitioners are required to comply with the same. Thereafter, the Ld. Counsel for the Income Tax Department stated that they do not have any objection subject to this statement and provisions in the scheme, as recorded in the daily order dated 23.12.2022.

10. The Petitioner Companies have placed on record the Valuation Report and respective audited financial statements as of 31.03.2022 and unaudited financial statements as of 30.09.2022 of both the Companies.

11. The certified copies of respective Board Resolutions of both the Petitioner Companies approving the Scheme of Amalgamation are annexed. An affidavit is filed by Shri Digant Mehta, being authorized signatory of the Transferor Company and Shri Shreekrishna Sawant, being authorized signatory of the Transferee Company.

12. The Petitioner Companies submitted that no investigation or proceedings are pending against the Petitioner Companies under

Sections 235-251 of the Companies Act,1956 or Sections 210-226 of the Companies Act, 2013.

13. In compliance with the proviso to sub-section (7) of Section 230 of the Companies Act, 2013, both the Petitioner Companies have placed on record the certificate of the statutory auditor confirming that the proposed Scheme of Amalgamation is in compliance with the applicable accounting standards as per Section 133 of the Companies Act, 2013. The List of Assets of the Transferor Company is annexed with the Purshis.

14. Heard submissions and perused documents placed on record. It appears that the requirements of the provisions of Sections 230 and 232 of the Companies Act, 2013 are satisfied. The proposed Scheme of Amalgamation appears to be genuine and bona fide and in the interest of the shareholders and creditors.

15. As a result, the petition is allowed. The Composite Scheme of Amalgamation is hereby sanctioned which is annexed with this order at **Annexure -A** and it is declared that the said scheme shall be binding on both the Petitioner Companies and their respective Shareholders, Creditors and all concerned under the Scheme.

16. Notwithstanding the above, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the Petitioners.

17. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any manner granting exemption from payment of stamp duty, or taxes including income tax, GST etc., or any other charges or payment in accordance with the law, or any kind of waiver in respect of any permission/compliance with any other requirement which may be specifically required under any law.

18. **The Scheme is sanctioned with the following directions:**

    i. The Composite Scheme of Amalgamation is hereby sanctioned which is annexed with this order at **Annexure -A** and it is declared that the said scheme shall be binding on both the Petitioner Companies and their respective Shareholders, Creditors and all concerned under the Scheme.

    ii. The Transferor Company shall be dissolved without winding up along with all the Assets mentioned in the list of Assets annexed at **Annexure – B.** The Transferor Company shall, together with all its properties, rights and powers be transferred without further act or deed, to the Transferee Company and pursuant to Section 232 of the Act, stand transferred to and vest in the Transferee Company for all the estate and interest of the Transferor Company.

    iii. All licenses, permissions, permits, approvals, certificates, clearances, authorities, leases, tenancy, assignments, rights, claims, liberties, special status, other benefits or privileges and any power of attorney relating to the Transferor Company shall stand transferred to and vest in the Transferee Company, without any further act or deed. The Transferee

Company shall be bound by the terms thereof, the obligations and duties thereunder, and the rights and benefits under the same shall be available to the Transferee Company.

iv. All the liabilities and duties of the Transferor Company be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company.

v. All contracts, agreements, insurance policies, bonds and all other instruments of whatsoever nature or description, of the Transferor Company, shall stand transferred to and vest in the Transferee Company, without any further act or deed. The Transferee Company shall be bound by the terms thereof and the obligations with duties thereunder, rights and benefits under the same shall be available to the Transferee Company.

vi. All taxes paid or payable by the Transferor Company including existing and future incentives, un-availed credits and exemptions, the benefit of carried forward losses and other statutory benefits, shall be available to and vest in the Transferee Company. The Tax liability of the Transferor Company shall become a liability of the Transferee Company and any proceedings against the Transferor shall continue against the Transferee Company.

vii. All proceedings, if any, now pending, or subsequently initiated, by or against the Transferor Company be continued by or against the Transferee Company.

viii. All workers/employees in the service of the Transferor Company shall be deemed to become the workers/employees of the Transferee Company on date on which the Scheme finally takes effect on the basis that their services shall be deemed to have been continuous and not having been interrupted by reasons of the said transfer and on terms and conditions no less favourable than those on which they were/are engaged, as on the Effective Date.

ix. As proposed in the Scheme, the Transferee Company shall, without further application, allot 7665 fully paid Equity Shares of Rs 10/- each of the Transferee Company for every 10 fully paid equity shares of Rs 100/- held by such member in the Transferor Company as on the Record Date.

x. The Petitioner companies within thirty days of the date of receipt of this order, cause a certified copy of this order to be delivered to the concerned Registrar of Companies for registration and on such certified copy being so delivered, the entire Undertaking of the Transferor Company shall stand transferred to the Transferee Company and the concerned Registrar of Companies shall place all documents relating to the Transferor Company to the file kept by him in relation to the Transferee Company and the files relating to the said two companies shall be treated accordingly.

xi. All concerned Authorities are to act on a copy of this order along with the Scheme authenticated by the Registrar of this Tribunal, who shall issue the certified copy of this order along with the Scheme immediately.

xii. The Petitioner Companies are further directed to lodge a copy of this Order and the approved Scheme attached at

Annexure –A the approved Scheme duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for adjudication of stamp duty, and pay requisite stamp duty payable, if any, within 60 days from the date of this Order.

xiii. The Petitioner Companies are further directed to file a copy of this order along with the copy of the Scheme with the concerned Registrar of Companies, electronically, along with e-form INC-28 in addition to a physical copy within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

xiv. The legal expenditure and fees for the office of the Official Liquidator are quantified at Rs. 10,000/- and the fees of the Regional Director are quantified at Rs. 10,000/ -. The said fees to the Official Liquidator and Regional Director shall be paid by the Transferee Company.

xv. Any person aggrieved by this order shall be at liberty to apply to this Tribunal for any directions that may be necessary.

xvi. The petition is allowed and disposed of, in terms of the above order.

S/d- S/d-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

DR.DEEPTI MUKESH
MEMBER (JUDICIAL)

RAHUL/LRA

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Annexure - A"

0278

SCHEME OF ARRANGEMENT IN THE NATURE OF AMALGAMATION

UNDER SECTIONS 230 TO 232 OF THE COMPANIES ACT, 2013

BETWEEN

DCS INFOTECH PRIVATE LIMITED

(AMALGAMATING COMPANY)

AND

DEEPAK NOVOCHEM TECHNOLOGIES LIMITED

(AMALGAMATED COMPANY)

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

PREAMBLE

This scheme of amalgamation (hereinafter referred to as the 'Scheme'), provides for the amalgamation of DCS Infotech Private Limited with Deepak Novochem Technologies Limited, pursuant to the provisions of Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 ("the Act"), read with the relevant Rules of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, including any statutory modification(s), amendment(s) or re-enactment(s) thereof for the time being in force.

1. INTRODUCTION

(i) Deepak Novochem Technologies Limited was originally incorporated on 31st March 2007, under the provisions of the Companies Act, 1956 as a Private Limited Company, having Corporate Identification Number (CIN) U24100MH2007PTC169468 vide Certificate of Incorporation issued by The Registrar of Companies, Maharashtra, Mumbai. The Company was converted from Private Limited Company to Public Limited Company with effect from 7th September 2007 vide Fresh Certificate of Incorporation Consequent upon Change of Name on Conversion to Public Limited Company issued by The Registrar of Companies, Maharashtra, Mumbai having CIN U24100MH2007PLC169468. Subsequently, the Registered Office of Deepak Novochem Technologies Limited was shifted from the jurisdiction of The Registrar of Companies, Maharashtra at Mumbai to the jurisdiction of The Registrar of Companies, Maharashtra at Pune with effect from 29th March, 2011. Consequently, the new CIN was allotted to Deepak Novochem Technologies Limited as U24100PN2007PLC138999. Thereafter, the Registered Office of Deepak Novochem Technologies Limited was shifted from the State of Maharashtra to the State of Gujarat and the Certificate of Registration of Regional Director Order for Change of State was issued by the Registrar of Companies, Gujarat at Ahmedabad vide CIN U24100GJ2007PLC101165 on 9th March, 2018. Presently, the registered office of Deepak Novochem Technologies Limited is situated at First Floor, Aaditya-2 Complex, Chhani Road, National Highway No. 8, Vadodara, Gujarat, 390024, India (hereinafter referred to as "**DNTL**" or "**Amalgamated Company**"). Deepak Novochem Technologies Limited is engaged in the business of manufacturing and formulation of and dealers in chemicals, Agricultural Chemicals, Chemical Compounds and chemical product of any nature and kind whatsoever, and as wholesale and retail chemists and druggists, chemical engineers, analytical Chemists, importers, exporters, manufacture of and dealers in heavy chemicals, Acids, alkalis, petrochemicals, chemical compounds and elements of all kinds (solid, liquid and gaseous), drugs, medicines, pharmaceuticals, anti-biotics etc. tannins, tannin extracts, essences, solvents, plastics / Polymers and resins of all types, dyes, dyestuffs, intermediates, textile auxiliaries, artificial silks, staple fibres and synthetic fibres of all kinds and types, regenated fibres or filaments, cellophane, colours, paints, varnishes, disinfectants, insecticides, fungicides, deodorants, as well as biochemical pharmaceutical, medicinal, sizing bleaching, photographical and other

preparations and articles of any nature and kind whatsoever or to manufacture and deal in inorganic and organic chemicals and fertilizers of all types, petro- chemicals of all types, explosives, industrial and other types rubber, glass, coal and silicon and phosphorous and electro chemicals; compounds of elements and elements (gaseous, liquids and solids); to fix nitrogen by any process and manufacture compounds of nitrogen.

(ii) DCS Infotech Private Limited was originally incorporated on 31st March 1989, under the provisions of the Companies Act, 1956 as ABS Data Management Services Private Limited, having Registration Number 11-51237, vide Certificate of Incorporation issued by The Registrar of Companies, Maharashtra. Subsequently, the name was changed from ABS Data Management Services Private Limited to DCS Infotech Private Limited with effect from 17th July, 1995 and a Fresh Certificate of Incorporation Consequent upon Change of Name was issued by The Registrar of Companies, Maharashtra, Bombay. DCS Infotech Private Limited was allotted CIN as U74140MH1989PTC051237. Subsequently, the registered Office of DCS Infotech Private Limited was shifted from the State of Maharashtra to the State of Gujarat vide Order No. RD/Section13/SRN T53407094/3799, dated 16th December, 2021 issued by Regional Director, Western Region at Mumbai, which has been filed with The Ministry of Corporate Affairs along with prescribed eform INC-28 for its registration vide Service Request Number ('SRN') T66331935 dated 23rd December, 2021 and Applicant Amalgamating Company has filed form INC-22 for Notice of situation or change of Registered Office vide SRN T70472212 dated 5th January, 2022. At present, the registered office of DCS Infotech Private Limited is situated at Office No. 103, Tanishq Complex, Opp. SBI Urmi Branch, Productivity Road, Akota, Vadodara-390020, Gujarat, India (herein after referred to as "**DIPL**" or "**Amalgamating Company**"). DIPL is *inter alia* engaged in the business of advising, consultancy and research on all matters relating to administration, management, organization, manufacture, production, storage, process, system and accounts, training of personnel, marketing, distribution and selling methods etc.

This Scheme provides for the amalgamation of the Amalgamating Company with and into the Amalgamated Company in accordance with the terms of the Scheme and

pursuant to the provision of section 230 to 232 of the Act and other relevant provisions of the Act.

OPERATION OF THE SCHEME

This is a Scheme of Arrangement in the nature of Amalgamation. This Scheme is prepared in terms of the provisions of Sections 230 to 232 of the Companies Act, 2013, which will be operationalized under the scheme of arrangement for amalgamation of Amalgamating Company with and into the Amalgamated Company in accordance with the terms of the Scheme and pursuant to the provision of section 230 to 232 of the Act and other relevant provisions of the Act and in exchange of which, the equity shares will be issued by the Amalgamated Company to the equity shareholders of Amalgamating Company.

2. DEFINITIONS

In this Scheme, unless inconsistent with the subject or context, the following expressions shall have the following meanings:

2.1 **"Act" or "The Act"** means the Companies Act, 2013 (to the extent of the sections thereof that have been brought into force) and the Companies Act, 1956 (to the extent of the sections thereof that have not been repealed);

2.2 **"Amalgamated Company"** means Deepak Novochem Technologies Limited (**"DNTL"**), originally incorporated on 31st March, 2007 under the provisions of Companies Act, 1956, having registered office at First Floor, Aaditya-2 Complex, Chhani Jakat Road, National Highway No. 8, Vadodara, Gujarat, 390024, India

2.3 **"Amalgamation"** means amalgamation of the Amalgamating Company with and into the Amalgamated Company on a going concern basis in terms of the Scheme (as defined hereinafter) in its present form or with such modification(s) as may be required therein and approved by the National Company Law Tribunal.

2.4 **"Amalgamating Company"** means DCS Infotech Private Limited (**"DIPL"**), originally incorporated on 31st March, 1989 under the provisions of the Companies Act, 1956 having its registered office at Office no. 103, Tanishq Complex, Opp. SBI Urmi Branch, Productivity Road, Akota, Vadodara, - 390020, Gujarat, India

2.5 **"Applicable Law(s)"** means (a) all the applicable statutes, notification, enactments, act of legislature, listing agreement, bye-laws, rules, regulations, guidelines, rule of common law, policy, code, directives, ordinance, orders or other instructions having force of law enacted or issued by any Appropriate Authority including any statutory modifications or re-enactment thereof for the time being in force (b) administrative interpretations, writs, injunctions, directions, directives, judgments, arbitral awards, decree, orders, or

governmental approvals of, or agreement with , any relevant authority, as may be in force from time to time;

2.6 "**Appointed Date**" mean April 01, 2021 or such other date as may be fixed by the National Company Law Tribunal (as defined hereinafter);

2.7 "**Board**" or "**Board of Directors**" means board of directors of the Amalgamating Company and/or Amalgamated Company, as the case may be, and shall, unless it is repugnant to the context, includes a committee of directors or any person authorized by the board of directors or such committee of directors for purposes of matters pertaining to this Scheme.

2.8 "**Business Day**" means any day, other than a Saturday and Sunday, on which banks are generally open for business in Gujarat, India;

2.9 "**Companies**" means the Amalgamating Company and Amalgamated Company jointly.

2.10 "**Effective Date**" means the latest of the date on which certified copies of the Order passed by the Tribunal sanctioning the Scheme, is filed with the Registrar of Companies, Gujarat, at Ahmedabad by both Amalgamating Company and Amalgamated Company.

Reference in the Scheme to the date of "**Coming into effect of this Scheme**" or "**Upon the Scheme being effective**" shall mean the Effective Date.

2.11 "**Scheme**", "**the Scheme**" and "**this Scheme**", means the present Composite Scheme of Arrangement in its present form or with any modifications or amendments approved, imposed or directed by the National Company Law Tribunal.

2.12 "**Memorandum or Memorandum of Association or MOA**" means Memorandum of Association of Amalgamating Company and Amalgamated Company.

2.13 **"National Company Law Tribunal" or "Tribunal" or "NCLT"** means the National Company Law Tribunal (NCLT) of Judicature of Gujarat at Ahmedabad having jurisdiction in relation to DNTL and DIPL or such other forum or authority as may be vested with any of the powers of NCLT in relation to the Scheme under the Act.

2.14 **"Undertaking"** shall mean and include all the assets, rights and properties (hereinafter referred to as **"the said Assets"**) and all the debts, liabilities, duties and obligations (hereinafter referred to as **"the said Liabilities"**) of the Amalgamating Company as on the Appointed Date. Without prejudice to the generality of above, the undertaking of the Amalgamating Company shall include but is not limited to:

(i) All immovable properties i.e. land together with the buildings and structures standing thereon (whether freehold, leasehold, leave and licensed, right of way, tenancies or otherwise) and all documents (including panchnamas, declarations, receipts) of title, rights and easements in relation thereto and all rights, covenants, continuing rights, title and interest in connection with the said immovable properties;

(ii) all assets, as are movable in nature, whether present or future or contingent, tangible or intangible, in possession or reversion, corporeal or incorporeal (including plant and machinery, furniture, fixtures, office equipment, communication facilities, installations, vehicles), actionable claims, earnest monies and sundry debtors, financial assets, outstanding loans and advances, recoverable in cash or in kind or for value to be received, provisions, receivables, funds, cash and bank balances and deposits including accrued interest thereto with Government, semi-Government, local and other authorities and bodies, banks, customers and other persons, the benefits of any bank guarantees, performance guarantees;

(iii) all the investments, being the investments in the securities or other instruments of other bodies corporates including subsidiary

companies, joint venture companies, associate companies, partnership firms or investments of any other nature.

(iv) all permits, licenses, permissions including municipal permissions, rights of way, approvals, clearances, consents, benefits, registrations, rights, entitlements, credits, certificates, awards, sanctions, allotments, quotas, no objection certificates, exemptions, concessions, liberties and advantages (including those granted/issued/given by any Governmental, statutory or regulatory or local or administrative bodies for the purpose of carrying on the business of the Amalgamating Company or in connection therewith) including those relating to the privileges, powers, facilities of every kind and description of whatsoever nature and the benefits thereto that pertain exclusively to the Amalgamating Company.

(v) all contracts, agreements, service orders, operation and maintenance contracts, memoranda of understanding, memoranda of undertakings, memoranda of agreements, memoranda of agreed points, minutes of meetings, bids, tenders, expression of interest, letter of intent, hire and purchase arrangements, lease/license agreements, tenancy rights, agreements/panchnamas for right of way, equipment purchase agreements, agreement with customers, purchase and other agreements with the supplier/manufacturer of goods/service providers, other arrangements, undertakings, deeds, bonds, schemes, concession agreements, insurance covers and claims, clearances and other instruments of whatsoever nature and description, whether written, oral or otherwise and all rights, title, interests, claims and benefits there under

(vi) all applications (including hardware, software, licenses, source codes, para-meterisation and scripts), registrations, goodwill, licenses, trade names, trademarks, service marks, copy rights, patents, domain names, designs, trade secrets, research and

studies, technical knowhow, confidential information and all such rights of whatsoever description and nature there off.

(vii) all rights to use and avail telephones, telexes, facsimile, email, internet, leased line connections and installations, utilities, electricity and other services, reserves, provisions, funds, benefits of assets or properties or other interests held in trusts, registrations, contracts, engagements, arrangements of all kind, privileges and all other rights, easements, liberties and advantages of whatsoever nature and wheresoever situated belonging to or in the ownership, power or possession and in control of or vested in or granted in favour of or enjoyed by the Amalgamating Company or in connection with or relating to the Amalgamating Company and all other interests of whatsoever nature belonging to or in the ownership, power, possession or control of or vested in or granted in favour of or held for the benefit of or enjoyed by the Amalgamating Company;

(viii) all books, records, files, papers, engineering and process information, software licenses (whether proprietary or otherwise), test reports, computer programmes, drawings, manuals, data, databases including databases for procurement, commercial and management, catalogues, quotations, sales and advertising materials, product registrations, dossiers, product master cards, lists of present and former customers and suppliers including service providers, other customer information, customer credit information, customer/supplier pricing information, and all other books and records, whether in physical or electronic form, of the Amalgamating Company;

(ix) all debts (whether secured or unsecured), borrowings including loans and borrowings from banks/financial institutions, obligations, duties and liabilities, including the contingent liabilities of the Amalgamating Company;

(x) All liabilities, obligations including the charges or encumbrances on assets / undertaking, guarantees given, of the Amalgamating Company.

(xi) all legal or other proceedings of whatsoever nature of the Amalgamating Company.

All terms and words not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning as prescribed to them under the Companies Act, 1956/2013, Income Tax Act, 1961 and any other Applicable Law.

3. RATIONALE OF THE SCHEME

The present scheme of arrangement provides for the amalgamation of the Amalgamating Company with and into the Amalgamated Company.

Currently, the Amalgamating Company owns around 3.41% stake of a listed Company, Deepak Nitrite Limited (hereinafter referred to as "DNL") which is majorly engaged in the business of Commodity Chemicals. Though, Amalgamating Company has liquid assets in the form of investments of DNL, it is unable to expand its business. It is looking to establish its footprints into the business of Specialty Chemicals sector, which has the potential for exponential growth.

The amalgamated Company is actively engaged in the business of manufacturing and sale of chemicals. It is planning to invest around ₹ 1,000 crores in the coming years towards funding various growth opportunities, while it needs liquidity/ security to raise funds for expansion of its business activities. Considering this, it is prudent to amalgamate both the entities so as to achieve the following objectives:

- Enable the Amalgamating Company to establish its footprints in the business of chemicals and utilize its liquid assets for this purpose which really encasing the same

- Enable the Amalgamating Company to enter into chemicals business which is already in existence instead of starting the same afresh thereby taking out all the time needed to establish itself into this business
- Enable the Amalgamated Company in terms of liquidity for taking up preconceived projects without having any financial constraints as the required funds can be raised by pledging/sale of shares of DNL.
- Enable the Amalgamated Company to present better opportunities for credit enhancement for further expansion of the business jointly
- To enhance the operational efficiencies and greater focus and would enable the management to vigorously pursue revenue growth and expansion opportunities
- The combined entity would have greater efficiency in cash management, unfettered access to cash flow generated by the combined businesses which can be deployed more efficiently to fund organic and inorganic growth opportunities. It will have large net worth and borrowing capacity to expand its business at a faster rate. The combined entity will improve the potential for further expansion of the businesses by way of increased borrowing strength of the combined entity;

Accordingly, the proposed amalgamation would enhance the value of all the stake holders including creditors (secured and unsecured) and shareholders at large.

AMALGAMATION UNDER THE SCHEME:

This Scheme provides for the transfer by way of amalgamation of the Amalgamating Company with and into the Amalgamated Company, and the consequent issue of equity shares by the Amalgamated Company to the shareholders of the Amalgamating Company pursuant to Sections 230 to 232 and other relevant provisions of the Act (as defined hereinafter) in the manner provided for in the Scheme. This Scheme has been drawn up to comply with the conditions as specified under Section 2 (1B) of the Income-tax Act, 1961 such that:

(i) All the property of the Amalgamating Company immediately before the amalgamation becomes the property of the Amalgamated Company by virtue of the amalgamation;

(ii) All the liabilities of the Amalgamating Company o immediately before the amalgamation become the liabilities of the Amalgamated Company by virtue of the amalgamation;

(iii) Shareholders holding not less than three-fourths in value of the shares in the Amalgamating Company (other than shares already held therein immediately before the amalgamation by, or by a nominee for, the Amalgamated Company or its subsidiary) become shareholders of the Amalgamated Company by virtue of the amalgamation.

4. Share Capital

The authorized, issued, subscribed and paid-up share capital of Amalgamated Company and Amalgamating Company are as under:

4.1 The Share Capital of the Amalgamated Company as on December 31, 2021 is as under:

Authorized Share Capital	**Amount (₹)**
50,00,000 Equity Shares of ₹ 10/- each	5,00,00,000/-
Total	**5,00,00,000/-**
Issued, Subscribed and fully Paid up Share Capital	
50,00,000 Equity Shares of ₹ 10/- each	5,00,00,000/-
Total	**5,00,00,000/-**

The authorized, issued, subscribed and paid-up share capital of Amalgamated Company is the same as above as on January 4, 2022 being the date of Board meeting of DNTL, sanctioning the Scheme.

4.2 The Share Capital of the Amalgamating Company as on December 31, 2021 is as under:

Authorized Share Capital	**Amount (₹)**
10,000 Equity Shares of ₹ 100/- each	10,00,000/-
Total	**10,00,000/-**
Issued, Subscribed and Paid up Share Capital	
1,002 Equity Shares of ₹ 100/- each	1,00,200/-
Total	**1,00,200/-**

The authorized, issued, subscribed and paid-up share capital of Amalgamating Company is the same as above as on January 4, 2022 being the date of Board meeting of DIPL, sanctioning the Scheme.

5. AMALGAMATION AND VESTING OF AMALGAMATING COMPANY

Upon the Scheme becoming effective and with effect from the opening of business as on the Appointed Date, and subject to the provisions of this Scheme, the entire business of the Amalgamating Company and Undertaking shall, without any further act or deed, be and the same shall stand transferred to and vested in or deemed to have been transferred to or vested in the Amalgamated Company on a going concern, pursuant to the provisions of Section 230 to 232 and other applicable provisions of the Companies Act, 2013 and also in accordance with section 2(1B) of the Income Tax Act, 1961, without any further act or deed, as per the provisions contained herein and in this Scheme, including but not limited to:

5.1 All immovable properties i.e. land together with the buildings and structures standing thereon (whether freehold, leasehold, leave and licensed, right of way, tenancies or otherwise) of the Amalgamating Company and all documents (including panchnamas, declarations, receipts) of title, rights and easements in relation thereto and all rights, covenants, continuing rights, title and interest in connection with the said immovable properties;

5.2 All assets, as are movable in nature of the Amalgamating Company, whether present or future or contingent, tangible or intangible, in possession or reversion, corporeal or incorporeal (including plant and machinery, furniture, fixtures, office equipment, communication facilities, installations, vehicles), actionable claims, earnest monies and sundry debtors, financial assets, outstanding loans and advances, recoverable in cash or in kind or for value to be received, provisions, receivables, funds, cash and bank balances and deposits including accrued interest thereto with Government, semi-Government, local and other authorities and bodies, banks, customers and other persons, the benefits of any bank guarantees, performance guarantees;

5.3 All the investments, including but not limited to the investment in subsidiaries companies, joint venture companies, associate companies, partnership firms or investments of any other nature, of the Amalgamating Company.

5.4 All statutory licenses and approvals, including but not limited to, permissions, clearances, incentives, consents and authorization orders, and all other business certifications and all other registration certificates issued to the Amalgamating Company under the Applicable Law(s).

5.5 all debts (whether secured or unsecured), borrowings including loans and borrowings from banks/financial institutions, obligations, duties and liabilities, including the contingent liabilities of the Amalgamating Company

5.6 All the liabilities, obligations including the charges or encumbrances on assets / undertaking, guarantees given, of the Amalgamating Company, shall, without any further act or deed, be and stand transferred, to the Amalgamated Company, pursuant to the applicable provisions of the said Act, so as to become as from the Appointed Date, the debts, liabilities, duties and obligations of the Amalgamated Company. The consent of any third party or other person who is a party to any contract or arrangement by virtue of which debts, liabilities, duties and obligations liabilities have arisen, shall be deemed to have been given, in order to give effect to the provisions of this Clause & the Scheme. Provided however that, this shall not mean or result into enhancing the security for any loan, deposit or obligation created by the Amalgamated Company. The Amalgamated Company shall not be obliged to create any further or additional security therefor.

6. UPON COMING INTO EFFECT OF THE SCHEME

6.1 With effect from the Effective Date and until such time the name of the Amalgamated Company is replaced in the relevant statutory/ Government records, registers and contracts related to the assets and liabilities of the Amalgamated Company, the Amalgamated Company shall be entitled to raise invoices in the name of the Amalgamating Company and utilize the name of the Amalgamating Company as the division of the Amalgamated Company. Until such time, any amounts received by the Amalgamating Company after the Effective Date, shall be deemed to be held in trust on behalf of the Amalgamated Company.

Thereafter, all such sums shall be remitted by the Amalgamating Company to the Amalgamated Company.

6.2 All cheques and negotiable instruments, payments orders received in the name of the Amalgamating Company after the Effective Date, shall be accepted by the bankers of the Amalgamated Company and credited to the account of the Amalgamated Company. Similarly, bankers of the Amalgamated Company shall honour cheques issued by the Amalgamating Company for payment after the Effective Date.

6.3 With effect from the Effective Date and until such time the title, rights, interest in connection with all the immovable properties (land together with the buildings and structures standing thereon (whether freehold, leasehold, leave and licensed, right of way, tenancies or otherwise) in the names of the Amalgamating Company, is transferred in the name of Amalgamated Company, the Amalgamated Company shall deem to hold such title, rights, interest in immovable properties in trust, for and on behalf of the Amalgamating Company.

6.4 With effect from the Effective Date and until such time all statutory licenses and approvals, including but not limited to, permissions, clearances, incentives, consents and authorization orders, and all other business certifications and all other registration certificates issued to the Amalgamating Company under the Applicable Law(s) are transferred to Amalgamated Company, the Amalgamated Company shall deem to hold in trust such statutory licenses and approvals for and on behalf of the Amalgamating Company.

6.5 The Amalgamated Company, at any time after the coming into effect of this Scheme, may execute deeds of confirmation in favour of any party to any contract or arrangement or memorandum of understanding to which the Amalgamating Company is a party or any writings as may be necessary to be executed in order to give formal effect to the above provisions. The Amalgamated Company shall, under the provisions of this Scheme, be deemed to be authorized to execute any such writings in the name of the Amalgamating Company to carry out or perform all such

formalities or compliance, referred to above on the part of the Amalgamated Company to be carried out or performed.

7. TAXES

7.1. All taxes (including but not limited to advance tax, tax deducted at source, minimum alternate tax, any tax credits including Minimum Alternate Tax ("MAT") credit, taxes withheld/paid in a foreign country, Goods and Services Tax ("GST"), etc.) payable by or refundable to the Amalgamating Company, including all or any refunds or claims shall be treated as the tax liability or refunds / claims, etc., as the case may be, of the Amalgamated Company, and any tax incentives, benefits (including claims for unabsorbed tax depreciation, unabsorbed tax loses, unabsorbed book depreciation and unabsorbed book loss) advantages, privileges, exemptions, benefits, credits, tax holidays, remissions, reductions, etc., as would have been available to the Amalgamating Company, shall upon the Scheme being effective, be available to the Amalgamated Company.

7.2. Upon the Scheme being effective, the Amalgamated Company shall be entitled to claim refunds or credits, including input tax credit, with respect to taxes paid by, for, or on behalf of, the Amalgamating Company, under Applicable Law(s), including income tax (including tax losses), Minimum Alternate Tax ("MAT"), GST, CENVAT or any other tax, whether or not arising due to any *inter se* transaction, even if the prescribed time limits for claiming such refunds or credits have lapsed.

7.3. Upon the coming into effect of the Scheme, all tax compliances under any tax laws by the Amalgamating Company on or after Appointed Date shall be deemed to be made by the Amalgamated Company.

7.4. Upon the Scheme being effective, any advance tax, self-assessment tax, minimum alternate tax including unutilized MAT credit up to the Appointed Date and/or credit available for Tax Deducted at Source ("TDS") or vested with the Amalgamating Company, including any taxes paid and taxes deducted at source and deposited by the Amalgamated Company on inter se transactions during the period between the Appointed Date and the Effective Date shall be treated as advance tax

paid by the Amalgamated Company and shall be available to the Amalgamated Company for set-off against its liability under the Income-tax Act, 1961 and any excess tax so paid shall be eligible for refund together with interest. Any TDS certificates issued by the Amalgamated Company to, or for the benefit of, the Amalgamating Company under the Income-tax Act, 1961 with respect to the inter se transactions would be available to the Amalgamated Company to seek refund from the tax authorities in compliance with law. Further, TDS deposited, TDS certificates issued or TDS returns filed by the Amalgamating Company on transactions other than inter se transactions during the period between the Appointed Date and the Effective Date shall continue to hold good as if such TDS amounts were deposited, TDS certificates were issued and TDS returns were filed by the Amalgamated Company. Any TDS deducted by, or on behalf of, the Amalgamating Company on inter se transactions will be treated as advance tax deposited by the Amalgamated Company.

7.5. The Amalgamated Company is also expressly permitted to claim refunds, credits, including restoration of input credit, tax deduction in respect of nullifying of any transaction between the Amalgamating Company and the Amalgamated Company.

8. REVISION OF ACCOUNTS / RETURNS

8.1. It is hereby provided that upon the Scheme being effective, the Amalgamated Company is also expressly permitted to reopen and revise its financial accounts for any relevant year, income tax returns, withholding tax returns, GST return and any other statutory returns and filings under the tax laws, notwithstanding that the period of filing / revising such return may have lapsed to obtain TDS certificates, including TDS certificates relating to transactions between the Amalgamating Company and the Amalgamated Company, and to claim refunds, advance tax and withholding tax credits, etc., pursuant to the provision of this Scheme.

8.2. It is hereby provided that such accounts can be reconstructed notwithstanding anything contained in any other law for the time being in force and it shall become operative on the Scheme being effective by virtue

of the fact that the Tribunal, while approving the Scheme as a whole, have also resolved and accorded the relevant consents as required respectively under Section 131 of the Companies Act, 2013 or any other provisions of the Act and it is deemed that the reconstruction of accounts have been made in compliance with section 131 of the Companies Act, 2013.

9. COMPLIANCE WITH SECTION 2(1B) OF THE INCOME-TAX ACT, 1961

The provisions of this Scheme as they relate to the amalgamation of the Amalgamating Company with and into the Amalgamated Company, have been drawn up to comply with the conditions relating to "Amalgamation" as specified under the tax laws, including section 2(1B) and other relevant sections of the Income Tax Act, 1961. If any terms or provisions of this Scheme are found to be or interpreted to be inconsistent with any of the said provisions at a later date, whether as a result of any amendment of law or any judicial or executive interpretation or for any other reason whatsoever, the aforesaid provisions of the tax laws shall prevail. This Scheme shall then stand modified to the extent determined necessary to comply with the said provisions. The power to make such amendments as may become necessary shall vest with the Board of Directors of the Amalgamating Company and the Amalgamated Company, which power shall be exercised reasonably in the best interests of the companies concerned.

10. BUSINESS AND PROPERTY IN TRUST AND CONDUCT OF BUSINESS OF THE AMALGAMATING COMPANY FOR THE AMALGAMATED COMPANY

With effect from the Appointed Date and up to and including the Effective Date:

10.1 The Amalgamating Company shall be carrying on and be deemed to have been carrying, on all business and activities and shall hold and stand possessed of and shall be deemed to hold, and stand possessed of all assets, rights, title, interest, authorities, contracts, investments and strategic decisions for and on account of, and in trust for the Amalgamated Company;

10.2 All income or profits accruing or arising to the Amalgamating Company, or all costs, charges, expenses or losses arising or incurred by it (including the effect of taxes, if any, thereon), shall, for all purposes, be treated as

profits, income, costs, charges, expenses, taxes or losses, as the case may be, of the Amalgamated Company;

10.3 It is clarified that any advance tax paid / TDS credits / TDS certificates received by the Amalgamating Company, shall be deemed to be the advance tax paid by / TDS credit / TDS certificate of the Amalgamated Company.

10.4 All assets howsoever acquired by the Amalgamating Company for carrying on its business, operations or activities and the liabilities relating thereto shall be deemed to have been acquired and are also contracted for and on behalf of the Amalgamated Company.

10.5 The Amalgamating Company shall also be entitled, pending sanction of the Scheme, to apply to the Central Government, State Government, and all other agencies, department and statutory authorities concerned, wherever necessary, for such consents, approvals and sanctions which Amalgamated Company may require including the registration, approvals, exemptions, relieves, etc., as may be required / granted under any law for the time being in force for carrying on business of the Amalgamated Company and to give effect to the Scheme.

10.6 Without prejudice to the above, the Amalgamating Company from the date of filing this Scheme with the NCLT up to and including the Effective Date, shall not make any change in its capital structure, whether by way of increase (by issue of equity shares on a rights basis, bonus shares or otherwise) decrease, reduction, reclassification, sub-division or consolidation, reorganization, or in any other manner except under any of the following circumstances:

(i) By mutual consent of the respective Board of Directors of the Amalgamating Company and the Amalgamated Company; or

(ii) By way of any obligation already subsisting as on the date of filing this Scheme with the NCLT

10.7 The transfer of assets, properties, liabilities or Undertaking(s) and the continuance of proceedings by or against the Amalgamating Company,

shall not affect any transaction or proceedings already concluded by the Amalgamating Company on or after the Appointed Date, to the end and intent that the Amalgamated Company accepts and adopts all acts, deeds things done and executed by the Amalgamating Company in regard thereto, as done executed by the Amalgamated Company on behalf of itself.

10.8 The Amalgamating Company undertakes that it will preserve and carry on the business with diligence and utmost business prudence and agrees that it will not, alienate, charge, mortgage or encumber or otherwise deal with or dispose of any assets or any part thereof or recruit new employees (in each case except in the ordinary course of business) or undertake substantial expansion or change the general character of the business; and

10.9 The Amalgamating Company and/or the Amalgamated Company shall be entitled, pending sanction of the Scheme, to apply to the Central/State Government(s), regulatory/local/administrative bodies and all other agencies, departments and authorities concerned, as are necessary under any Applicable Law for such consents, approvals and sanctions which the Amalgamated Company may require, in order to carry on the business of the Amalgamating Company.

11. CONTRACTS, DEEDS, BONDS AND OTHER INSTRUMENTS

11.1 Subject to the other provisions contained in the Scheme, all contracts, deeds, bonds, debentures, agreements and other instruments of whatever nature to which the Amalgamating Company is a party, subsisting or having effect immediately before the Effective Date shall remain in full force and effect against or in favour of the Amalgamated Company, as the case may be, and may be enforced as fully and as effectually as if, instead of the Amalgamating Company, the Amalgamated Company had been a party thereto.

11.2 It is clarified that in case of any such instruments including contracts, deeds, bonds, debentures etc., wherever required, the Amalgamated Company shall amend or modify such instrument etc., as may be appropriate, by appending, attaching or affixing thereto such addendum, stickers, papers, supplementary modification deeds etc. with or without affixing the

Common Seal of the Amalgamated Company, to denote and signify the Amalgamated Company as a party thereto stepping instead and in place of the Amalgamating Company. Further, the Amalgamated Company shall be deemed to be authorized to execute any such deeds, writings or confirmations on behalf of the Amalgamating Company and to implement or carry out all formalities required on the part of the Amalgamating Company to give effect to the provisions of this Scheme.

12. LEGAL PROCEEDINGS

If any suit, writ petition, appeal, revision or claims or action before any statutory or quasi-judicial authority or tribunal other proceedings of whatever nature (hereinafter called "**the Proceedings**") by or against the Amalgamating Company be pending, the same shall not abate, be discontinued or be in any way prejudicially affected by reason of the amalgamation of the Amalgamating Company or of anything contained in the Scheme, but the Proceedings may be continued, prosecuted and enforced by or against the Amalgamated Company in the same manner and to the same extent, as it would be or might have been continued, prosecuted and enforced by or against the Amalgamating Company, as if the Scheme had not been made. On and from the Effective Date, the Amalgamated Company shall and may initiate any legal proceedings for and on behalf of the Amalgamating Company.

13. STAFF, WORKMEN AND EMPLOYEES OF THE AMALGAMATING COMPANY

Upon the Scheme becoming effective, all the staff, workmen and other employees in the service of the Amalgamating Company, shall become the staff, workmen and employees of the Amalgamated Company, on the basis that:

13.1 Their service shall be continuous and shall not be interrupted by reason of the amalgamation;

13.2 The terms and conditions of service applicable to the said staff, workmen or employees after such amalgamation shall not in any way be less favorable to them than those applicable to them immediately before the amalgamation; and

13.3 It is expressly provided that as far as Provident Fund, Gratuity Fund, Superannuation Fund or any other Fund created or existing for the benefit of the staff, workmen and other employees of the Amalgamating Company are concerned, upon the Scheme becoming effective, the Amalgamated Company shall stand substituted for the Amalgamating Company for all purposes whatsoever related to the administration or operation of such Funds or in relation to the obligation to make contributions to the said Funds in accordance with provisions of such Funds as per the terms provided in the respective Trust Deeds. It is the aim and intent that all the rights, duties, powers and obligations of the Amalgamating Company in relation to such Funds shall become those of the Amalgamated Company and all the rights, duties and benefits of the employees of the Amalgamating Company under such Funds and Trusts shall be protected. It is clarified that the services of the employees of the Amalgamating Company will also be treated as having been continuous for the purpose of the aforesaid Funds or provisions.

14. ACCOUNTING TREATMENT IN THE BOOKS OF AMALGAMATED COMPANY

14.1 Upon this Scheme becoming effective, the Amalgamated Company shall follow the Merger Method of accounting as prescribed under **AS-14** namely '**Accounting for Amalgamations**' issued by ICAI. In accordance with para 33-35 of AS 14, accounting for amalgamation shall be done in the books of Amalgamated Company in accordance with "**Pooling of Interest Method**".

14.2 The Amalgamated Company shall record the assets, liabilities and reserves, if any, of the Amalgamating Company as transferred to the Amalgamated Company pursuant to this Scheme, at its book value as on the Appointed Date.

14.3 If, at the time of the amalgamation, the Amalgamating Company and the Amalgamated Company have conflicting accounting policies, a uniform set of accounting policies should be adopted following the amalgamation. The

effects on the financial statements of any changes in accounting policies should be reported in accordance with Accounting Standard (AS) 5 Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies.

14.4 All inter-company payables, receivables (including loans, advances etc.) and balances between the Amalgamating Company and the Amalgamated Company, shall be cancelled and accordingly shall not be recorded in their books.

14.5 The difference between the amount recorded as share capital issued and the amount of share capital of the Amalgamating Company should be adjusted in reserves.

15. CONSIDERATION:

15.1 The Amalgamated Company shall without any further application, act, instrument or deed, issue and allot to each shareholder of Amalgamating Company whose name is recorded in the register of members of the said Amalgamating Company on the Record Date in the following Ratio ("**Share Entitlement Ratio**"):

(a) "7,665 fully paid Equity shares of ₹ 10/- (Rupees Ten only) each of the Amalgamated Company for every 10 fully paid Equity shares of ₹ 100/- (Rupees One Hundred only) each held by such shareholder in the Amalgamating Company."

15.2 The Share Exchange Ratio has been arrived at on the basis of valuation reports of CA Rohit Maloo, a Registered Valuer.

15.3 The shares to be issued and allotted by the Amalgamated Company in terms of Clause 15.1 above shall be subject to the provisions of the Memorandum and Articles of Association of the Amalgamated Company and shall rank *pari passu* in all respects with the existing shares of the Amalgamated Company.

15.4 In respect of fractional entitlement to a shareholder, the same shall be rounded off to the nearest integer.

15.5 The issue and allotment of shares by the Amalgamated Company to the equity shareholders of the Amalgamating Company as provided in this Scheme as an integral part thereof, shall be deemed to have been carried out without any further act or deed by Amalgamated Company as if the procedure laid down under Section 62(1)(c) of the Act and any other applicable provisions were duly complied with.

15.6 Post approval of the scheme by the Hon'ble NCLT, the Amalgamated Company will increase its Authorized Share Capital, to the extent required, in order to give the effect of the allotment as discussed in point 15.1 above.

16. DISSOLUTION OF THE AMALGAMATING COMPANY

Upon the coming into effect of the Scheme and by virtue of the order of the NCLT sanctioning this Scheme, the Amalgamating Company shall be dissolved without winding up, pursuant to the provisions of Section 232 of the Act.

17. CHANGE IN THE OBJECT CLAUSE OF AMALGAMATED COMPANY AND AMENDMENT OF MEMORANDUM OF ASSOCIATION

17.1 Since the Amalgamating Company operates in different business area, business activities being carried out by the Amalgamating Company are not specifically covered under the present main object clause of the Amalgamated Company. Accordingly, upon the Scheme being effective, the main object clause of the Amalgamated Company shall be altered to include the main objects of the Amalgamating Company.

17.2 Clause III(A) of the Memorandum of Association of the Amalgamated Company shall, without any further act, instrument or deed, stand altered, modified and amended pursuant to Sections 4 and 13 of the Act and other applicable provisions of the Act, as the case may be and be replaced accordingly.

17.3 It is further clarified that under the accepted principle of single window clearance, the approval of the members of the Amalgamated Company to the Scheme shall be deemed to be their consent/approval for the proposed amendment of the Object Clause of the Memorandum of Association of the Amalgamated Company, under the provisions of Section 4 and 13 of the Act and other applicable provisions of the Act. The Amalgamated Company shall not be required to pass separate resolutions or undertake any further procedure as required under the Act. It is further clarified that the Amalgamated Company shall file a copy of the amended Memorandum of Association with the Registrar of Companies at the time of filing the final order of the NCLT approving the Scheme.

17.4 Accordingly, upon the Scheme being effective, Clause III(A) of the Memorandum of Association of the Amalgamated Company shall stand altered and amended and the following sub-clauses shall stand inserted

immediately after para 1 of clause III(A) of the Memorandum of Association of the Amalgamated Company;

2. To act as advisers and/or consultants on all matters relating to administration, management, organization, manufacture, production, storage, process, systems and accounts, training of personnel, marketing, distribution and selling methods and principles, to develop procedures and principles of, and engage in research on all the matters relating to the administration, business methods, techniques, personnel for commercial, industrial and business purposes, distribution, marketing and selling, to collect, analyze, process, interpret, distribute and circulate data, statistics and information relating to any type of business or industry to analyze, collate, examine, consider, formulate, reports and recommend on the means and/or methods for extending and/or developing and or improving and/or promoting and/or managing any type of commerce, business or industry, organisation and methods, techniques and procedures, to consider and evaluate matters relating to manufacture, production, storage, distribution, finance, purchasing, marketing and sale and/or relating to the rendering of any services, to render the above services to any person, firm, company, trust, association, institution society, body corporate, government, public or local authority, any other organisations whatsoever, and to render all such other services as may be ancillary or incidental to any of the foregoing matters.

3. To carry on the business of collecting, compiling, collating, analysing, disseminating, researching, publishing, vending, buying, selling, importing, exporting, and otherwise dealing in all kinds of commercial and technical information.

4. To act as consultants and advisors on information systems and purveyors of information services, based on the use of computers and business machines of all kinds, including all types of information and word processing equipment such as copying machines, electronic telephone or other communication systems, typewriters and dictating systems related to data and information processing and to furnish to the users the systems know-how, programmes and other software relating to the use of such machines and allied peripherals and to develop the market and export software, develop training programmes and provide training for the use of sophisticated computers, to hardware design, to produce photo type of electronic equipment and to manufacture electronic equipment and to import and/or export software, hardware and all types of equipment.

5. To manage centres for development of software and hardware and all types of electronic equipment, to set up and conduct technology parks and to equip, such technology parks with satellite relay stations, communication facilities digital communication facilities, power systems terminals, uninterrupted power supply and all other facilities and infrastructure, to allow the use of such infrastructure facilities and parks on any time sharing or other basis.

6. To carry on research and development into computer technology, software technology, artificial intelligence and electronics in general.

7. To provide services for data entry and consultancy of all kinds, clerical services, management training, rental of software, rental of computers and other equipment and computer time and to provide library and language translation services."

18. VALIDITY OF EXISTING RESOLUTIONS, ETC.

Upon the coming into effect of the Scheme, the resolutions of the Amalgamating Company as are considered necessary by the Board of Directors of the Amalgamated Company to be validly subsisting, be considered as resolutions of the Amalgamated Company. If any such resolutions have any monetary limits approved under the provisions of the Act or of any other applicable statutory provisions, then said limits, as are considered necessary by the Board of Directors of the Amalgamated Company, shall be added to the limits, if any, under the like resolutions passed by the Amalgamated Company.

19. CONSOLIDATION AND RESTRUCTURE OF SHARE CAPITAL AND AMENDMENT TO MEMORANDUM OF ASSOCIATION OF THE AMALGAMATED COMPANY

19.1 As an integral part of the Scheme, upon this Scheme becoming effective and with effect from Appointed Date, the authorised share capital of the Amalgamating Companies cumulatively amounting to ₹ 10,00,000/- or the amount as on the Effective Date shall, without any further act, instrument or deed or payment of filing fees payable to the Registrar of Companies or stamp duty, stand transferred to and be merged with the authorised share capital of the Amalgamated Company.

19.2 Clause V of the Memorandum of Association of the Amalgamated Company shall, without any further act, instrument or deed, stand altered, modified and amended pursuant to Sections 13, 61 and 62 of the Act and other applicable provisions of the Act, as the case may be and be replaced accordingly.

19.3 It is further clarified that under the accepted principle of single window clearance, the approval of the members of the Amalgamated Company to the Scheme shall be deemed to be their consent/approval for the proposed amendment of the Capital Clause of the Memorandum of Association of the Amalgamated Company, under the provisions of Section 13, 61 and 62 of

the Act and other applicable provisions of the Act. The Amalgamated Company shall not be required to pass separate resolutions or undertake any further procedure as required under the Act, nor any additional fees or stamp duty, shall be payable by the Amalgamated Company.

19.4 Consequently, Clause V of the Memorandum of Association of the Amalgamated Company, shall be deleted in its entirety and be replaced as under:

Clause V of Memorandum of Association: -

"The Authorized Share Capital of the Company is Rs. 5,10,00,000/- [Rupees Five Crore and Ten Lakhs only] divided into 51,00,000 Equity Shares of Rs. 10/- [Rupees Ten only]".

20. APPLICATIONS TO THE NATIONAL COMPANY LAW TRIBUNAL

The Amalgamating Company and the Amalgamated Company shall, with reasonable dispatch, make joint petitions to the National Company Law Tribunal at Ahmedabad, pursuant to Sections 230 to 232 read with other applicable provisions of the Companies Act, 2013, as may be applicable, from time to time, for holding/dispensing with the meetings of the shareholders and/or creditors (secured and unsecured) of the both the companies and obtaining one or more orders sanctioning this Scheme and carrying this Scheme into effect.

21. MODIFICATIONS/AMENDMENTS TO THE SCHEME

21.1 The Board of Directors of the Companies, may from time to time, assent on behalf of all persons concerned, including the shareholders, to any modifications or amendments or additions to the Scheme or to any conditions or limitations, which either company's Board of Directors of may deem fit or which the Tribunal and/or any competent Authority, if any, under the law may deem fit, to approve of or impose and which the Board of Directors of both the companies may in their discretion, deem fit, and to resolve all doubts or difficulties that may arise in carrying out and implementing this Scheme and to do all acts, instruments, deeds, matters and thing necessary or to review position relating to the satisfaction of the conditions of this Scheme and if necessary, to waive any of those (to the extent permissible under law), for bring the Scheme into effect. In the event

of any of the conditions that may be imposed by the Tribunal or other authorities which the Amalgamating Company and the Amalgamated Company may find unacceptable for any reason, whatsoever, then, either companies shall be at liberty to withdraw the Scheme. The aforesaid powers of the Amalgamating Company and the Amalgamated Company may be exercised by their respective Board of Directors, or a committee of the concerned Board of Directors, or any Director authorized in that behalf by the concerned Board of Directors.

21.2 For the purpose of giving effect to the Scheme or to any modifications or amendments thereof, or additions thereto, the delegate(s) of the Amalgamating Company and the Amalgamated Company may give and are hereby authorized to determine and give all such directions as are necessary including directions for settling or removing any question of doubt or difficulty that may arise and such determination or directions, as the case may be, shall be binding on all parties in the same manner as if the same were specifically incorporated in this Scheme.

21.3 If any terms or provisions of this Scheme are found to be or interpreted to be inconsistent with any of the Applicable Law(s) prevailing in India at a later date, whether as a result of any amendment of law or any judicial or executive interpretation or for any other reason whatsoever, the provisions of the Applicable Law(s)shall prevail. This Scheme shall then stand modified to the extent determined necessary to comply with the said laws. The power to make such amendments as may become necessary shall vest with the Board of Directors of the Amalgamating Company and the Amalgamated Company, which power shall be exercised reasonably in the best interests of the companies concerned.

21.4 Notwithstanding Clause 21.1, 21.2 and 21.3 above, the Amalgamating Company and the Amalgamating Company (acting through their respective Board of Directors), shall be at liberty to withdraw or modify the Scheme for the reason of any condition or alteration imposed by the Tribunal or any other Governmental/regulatory authority, not being acceptable to them.

22. CONDITIONALITY OF THE SCHEME

The effectiveness of the Scheme is conditional upon and subject to:

22.1 The Scheme being approved by the respective requisite majorities of the various classes of Shareholders and creditors of the Amalgamating Company and the Amalgamated Company, as required under the Act.

22.2 The sanction of the Tribunal under Section 230 to 232 of the said Act, whether with or without any modifications and amendments as the Tribunal may deem fit, in favor of the Amalgamating Company and the Amalgamated Company and to the necessary Orders under Section 232 of the said Act, being obtained.

22.3 Certified copies of the Orders of the Tribunal being filed by the Amalgamating Company and the Amalgamated Company with the Registrar of Companies having jurisdiction over each of such companies.

23. COST, CHARGES AND EXPENSES

All costs, charges, taxes including duties, levies and all other expenses, if any, arising out of/or incurred in securing approvals and sanctions for the Scheme and matters incidental thereto, shall be borne and paid by the Amalgamated Company.

24. APPROVALS / SANCTIONS NOT FORTHCOMING

In the event any of the approvals and sanctions as mentioned under the Scheme are not obtained, completed or forthcoming, the Scheme shall stand revoked, cancelled and be of no effect, save and except in respect of any act or deed done prior thereto as in contemplated hereunder, or as to any right, liability or obligation which has arisen and accrued pursuant thereto and which shall be preserved or worked out as specifically provided in the Scheme or as may otherwise arise in law. In such event, the Board of Directors of the Amalgamating Company and the Amalgamated Company, shall be entitled to withdraw this Scheme prior to the Effective Date.

Annexure "B"

DCS INFOTECH PRIVATE LIMITED

Office No. 103, Tanishq Complex, Opp. SBI Urmi Branch, Productivity Road,
Akota, Vadodara - 390 020.

CIN.: U74140GJ1989PTC128553 Email : digant004@yahoo.com

List of Assets of **DCS INFOTECH PRIVATE LIMITED** as on November 30, 2022 to be transferred to **DEEPAK NOVOCHEM TECHNOLOGIES LIMITED** pursuant to the scheme sanctioned by the Hon'ble National Company Law Tribunal, Ahmedabad Bench.

Schedule

Part I

Particulars of Freehold Properties

(i) Land: Nil.

(ii) Building: Nil.

Part II

Particulars of Leasehold Properties

(i) Land: Nil.

(ii) Building: Nil.

Part III

A. Particulars of Investment in Shares & Securities :

No. of shares and description	Face Value
46,48,720 Equity shares of Deepak Nitrite Limited held in Demat Account with Stock Holding Corporation of India Limited.	Rs. 2/- per equity share

B. Particulars of Bank Accounts:

Sr. No.	Bank & Branch	Type of Account	Account No.
1	Kotak Mahindra Bank – Vile Parle East Branch	Current A/c	6912881195
2	Kotak Mahindra Bank – Vile Parle East Branch	Current – Dividend A/c	6913482247
3	Yes Bank – Vile Parle East Branch	Current A/c	045963300000571
4	State Bank of India – Churchgate Branch	Current A/c	11037319354
5	State Bank of India – Pune Branch	Current A/c	11099449438

DCS INFOTECH PVT. LTD.

C. Particulars of Fixed Deposit Accounts at Kotak Mahindra Bank, Vile Parle East Branch amounting to Rs 8,25,97,716/-

Sr. No.	FD No.
1	6913483657
2	6913483664
3	6913557921
4	6913557914
5	6913557938
6	6945041092
7	6946029877
8	6946029884
9	6946029891
10	6947114220
11	6947114244
12	6947114237
13	6947114251

D. Other Assets :-

a. Cash in Hand : Rs. 2,420/-
b. Office equipment: One Laptop
c. Interest Receivable on Fixed Deposits : Rs. 2,94,926/-
d. Income Taxes Paid (as per Table below) : Rs. 97,76,864/--
e. MAT Credit Rs. 45,06,952/--
f. Advance to M/s Arlem Investment & Finance Limited (Now known as Smartchem Technologies Limited) Rs 25,00,000/-

Income Taxes Paid

Sr. No.	Particulars	Amount
1	Advance Tax (AY 23-24)	Rs. 3,00,000
2	Advance Tax (AY 22-23)	Rs. 30,00,000
3	Income Tax Refund Receivable	Rs. 2,70,189
4	TDS (Dividend Income) (AY 22-23 and AY 23-24)	Rs. 58,10,900
5	TDS (Interest Income) (AY 20-21, AY 21-22, AY 22-23)	Rs. 3,95,775
	Total	**Rs. 97,76,864**

E. Registration with Various Authorities under respective laws, Bodies etc. :

Name of Authority	Nature of registration	Registration Number
INCOME TAX DEPARTMENT	PAN	**AABCD0536C**
	TAN	**AGRD10309F**
SALES TAX DEPARTMENT		**Nil**
GOODS AND SERVICE TAX DEPARTMENT	GST No.	**27AABCD0536C1Z9**
	INPUT SERVICE DISTRIBUTOR	
	REG.NO.	
EXCISE & CUSTOMS	DGFT IE CODE NO.	**Nil**
	BIN No.	**Nil**
EXCISE REGISTRATION NO.		**Nil**
MINISTRY OF INDUSTRIES GOVERNMENT OF INDIA		**Nil**
REGISTRAR OF COMPANY'S CIN NO.		**U74140GJ1989PTC128553**
SMALL SCALE INDUSTRIES REG.NO. (GUJARAT) DIC OFFICE		**Nil**
PF REGISTRATION NO.		**Nil**
ESI REGISTRATION		**Nil**
FACTORY LICENCE NO.		**Nil**
PROFESSIONAL TAX REGISTRATION NO.		**1121180079240**
LIC GROUP GRATUITY POLICY NO.		**Nil**
CONTRACTUAL LABOUR REGISTRATION NO.		**Nil**
Electric Connections		**Nil**

F. VEHICLES : Nil

For DCS INFOTECH PRIVATE LIMITED

DIGANT K. MEHTA
DIRECTOR

DCS INFOTECH PVT. LTD.